

FRVO

FRVO N/A

Buy	\$38.02 ▲ 6.90%	12M Price Target \$52.00	52-Week Range \$34.27 – \$42.65	Market Cap \$11.18B
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FRVO: Reiterate Buy; Geothermal-AI Tailwind Reasserts Post-IPO

WHAT'S CHANGED

- FRVO rebounded +6.90% to \$38.02 on lighter volume (1.59M) after a sharp two-day drawdown to \$35.57, recovering ~70% of the prior decline and printing at 45% of its 52-week range.
- WSJ (5/25) flagged a hot geothermal IPO comp lifting the subsector; near-term call flow skewed bullish (P/C 0.48, 454 calls vs 220 puts).

IMPLICATIONS

The combination of a sector-friendly WSJ piece, +1.20% Energy and +1.82% Utilities ETF moves, and bullish options skew suggests today's bounce reflects renewed positioning into the AI-power-demand thesis rather than idiosyncratic news. For FRVO specifically, post-IPO volatility is normalizing within a \$35–\$43 band as the market triangulates EGS project economics against hyperscaler contract visibility. With only 18.3% institutional ownership and 22% insider holdings, the float remains technically driven near-term, amplifying both upside on PPA announcements and downside on macro de-risking.

VALUATION

At \$11.2B market cap on ~\$285M FY26E revenue, FRVO trades at ~39x forward sales — premium to traditional IPPs but consistent with growth-stage clean firm power names benefiting from AI baseload scarcity. Our \$52 PT (~37% upside) applies ~22x FY27E revenue, justified by Cape Station ramp visibility and a multi-GW pipeline. Multiple contraction risk centers on project cost inflation and drilling execution; expansion driver is incremental hyperscaler PPA announcements.

KEY RISKS

- Execution risk on enhanced geothermal drilling at scale; cost overruns compress project IRRs.
- Concentration risk in hyperscaler counterparties; loss of a marquee PPA materially impairs backlog visibility.
- Rate-sensitive long-duration cash flows; rising real yields compress terminal value multiples.

RECENT NEWS

- A Hot IPO Lifts Geothermal Power Companies** The Wall Street Journal · 2026-05-25 21:17
- Energy IPOs Are Back. The Winners Have One Thing In Common.** Barrons.com · 2026-05-18 09:55
- Assessing Fervo Energy's Valuation After Early Stage Losses And Recent Share Price Momentum...** Simply Wall St. · 2026-05-17 21:14

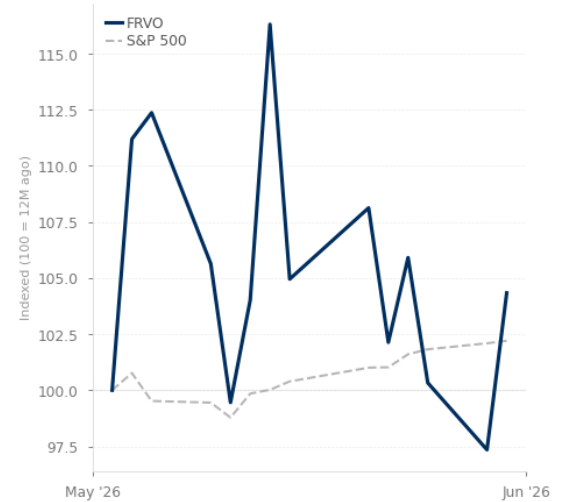
Key Data

Price (USD)	\$38.02
12M Price Target	\$52.00
Upside / (Downside)	+36.8%
Market Cap	\$11.18B
FY2026E Revenue	\$285M
FY2027E Revenue	\$510M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$44.00	\$40.00	\$34.00
6 Months	\$52.00	\$45.00	\$32.00
1 Year	\$65.00	\$52.00	\$30.00
2 Years	\$90.00	\$68.00	\$28.00
5 Years	\$160.00	\$100.00	\$22.00
10 Years	\$300.00	\$175.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Utilities, Technology

COLD SECTORS: Real Estate, Industrials

ROTATION WATCH: With Tech +6.76% over 5D and Utilities reasserting (+1.82% 1D), capital is rotating toward the AI-power nexus where FRVO sits at the intersection; expect continued bid for clean firm power names.

BYPRODUCT PLAY: Drilling services, high-temperature downhole equipment vendors, and grid-interconnection specialists capture secondary value as EGS deployments scale.

OUTPERFORMERS & PEER CONTEXT

- VST (Vistra): Datacenter PPA optionality has driven sustained outperformance vs XLU as AI-power thesis re-rates conventional baseload.
- CEG (Constellation Energy): Nuclear-AI contract framework (Microsoft) established the template for premium baseload multiples FRVO is positioning to capture.

FRVO CONTEXT: FRVO is consolidating post-IPO at 45% of its range while peers extend gains — relative lag reflects float dynamics and lack of operating history, not thesis impairment. A clean break above \$40 would signal institutional accumulation.

INVESTMENT STRATEGY

7/10 Conviction Score

CONVICTION: 7/10 — Structural AI-power demand and first-mover EGS positioning are compelling, but pre-profitability stage and execution risk cap conviction.

POSITION SIZE: 2-3% of portfolio — sized for asymmetric upside while respecting binary project execution risk and post-IPO volatility.

ENTRY POINTS: Accumulate \$35–\$37 on macro pullbacks; add above \$40.50 on confirmed breakout with volume >3M.

TIME HORIZON: 12–24 months; key catalysts are Cape Station commissioning updates and next hyperscaler PPA announcement.

THESIS INVALIDATION: Project delay >6 months, drilling cost overrun >25%, or revenue miss >15% versus FY26 consensus.

HEDGING: Long FRVO / short XLU pair to isolate AI-power alpha; alternatively, protective \$30 puts 6-month for tail risk.